



ANNOUNCEMENT OF CONSOLIDATED AUDITED RESULTS FOR THE YEAR ENDED 30 JUNE 2022

The Directors of East African Portland Cement PLC are pleased to announce the audited consolidated results for the year ended 30 June 2022

Condensed consolidated statement of Profit or Loss and Other Comprehensive Income for the year ended:

	June-22 Sh' 000	June-21 Sh' 000
Revenue	2,143,279	2,762,748
Cost of sales	(2,925,509)	(3,583,282)
Gross Loss	(782,230)	(820,534)
Other Operating Income	74,172	74,843
Administration and Selling Expenses	(1,131,879)	(2,466,675)
Loss from Operating Activities	(1,839,937)	(3,212,366)
Interest Income	-	149
Finance Costs	(100,852)	(835,694)
Fair Value Gain on Investment Property	2,469,988	5,783,847
Profit Before Tax	529,199	1,735,936
Tax Credit	12,386	151,644
Profit After Tax	541,585	1,887,580
Other Comprehensive income	27,582	371,404
Total Comprehensive Income	569,167	2,258,984
Earnings Per Share	6.02	20.97

Condensed Consolidated Statement of Cash Flows for the year ended:

	June-22 Sh' 000	June-21 Sh' 000
Cash Flow used in Operations	(445,852)	(1,858,871)
Net Interest Paid	(5,641)	(361,763)
Interest Received	-	149
Taxation Paid	-	(1,699)
Net Cash Used in Operating Activities	(451,493)	(2,222,184)
Net Cash Generated from Investing Activities	425,757	6,503,438
Net Cash Generated from/(Used in) Financing Activities	45,698	(4,331,815)
Net Increase/ (Decrease) in Cash and Cash Equivalent	19,962	(50,561)
Effects of exchange rate changes on the balance of cash	(14,428)	659
Cash and Cash Equivalents as at 1st July	31,622	81,524
Increase / (decrease)	19,962	(50,561)
Cash and Cash Equivalents as at 30th June	37,156	31,622

Condensed Consolidated Statement of Financial Position as at:

	June-22 Sh' 000	June-21 Sh' 000
Assets		
Non-Current Assets	33,815,868	32,197,669
Current Assets	2,033,605	2,443,441
Total Assets	35,849,473	34,641,110
Equity and Liabilities		
Share Capital & Premium	1,098,000	1,098,000
Other Reserves & Retained Earnings	20,483,291	19,914,124
Totals Equity	21,581,291	21,012,124
Non Current Liabilities	19,615	447,786
Current Liabilities	14,248,567	13,181,200
Total Liabilities	14,268,182	13,628,986
Total Equity and Liabilities	35,849,473	34,641,110

Condensed Consolidated Statement of Changes in Equity for the Year

	Share Capital	Share premium	Asset Revaluation Reserves	Retained Earnings	Other Reserves	Total
	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000	Shs' 000
At Start of Year	450,000	648,000	1,181,352	16,306,765	167,023	18,753,140
Net Transfer of excess depreciation	-	-	(233,083)	233,083	-	-
Deferred Tax on Excess Depreciation	-	-	69,925	(69,925)	-	-
Profit for the year	-	-	-	1,887,580	-	1,887,580
Other Comprehensive Income	-	-	264,274	-	107,130	371,404
Total Comprehensive Income for the year	-	-	264,274	1,887,580	107,130	2,258,984
As at 30 June 2021	450,000	648,000	1,282,468	18,357,503	274,153	21,012,124
As at 1st July 2021	450,000	648,000	1,282,468	18,357,503	274,153	21,012,124
Transfer of excess depreciation	-	-	(357,886)	357,886	-	-
Deferred tax on excess depreciation	-	-	107,366	(107,366)	-	-
Profit for the year	-	-	-	541,585	-	541,585
Other Comprehensive Income	-	-	-	-	27,582	27,582
Total Comprehensive Income for the year	-	-	-	541,585	27,582	569,167
As at 30 June 2022	450,000	648,000	1,031,948	19,149,608	301,735	21,581,291

PERFORMANCE

The Group continues to reap from the ongoing turnaround strategy having cut the gross loss by 5% from KES 821M to KES 782M despite a 22% drop in revenue attributed to unstable plant run and increased competition.

Administration and selling expenses decreased by 54% (KES 1.3B) resulting from reduction in loss from disposal of land (KCB debt settlement) and reduced litigation cost amongst others underscoring the impact of cost containment measures embarked on in the year under review. The cost containment initiatives, reduction in finance cost (KES 735M) following settlement of the KCB loan, and the gains from replacement of the Kiln Shell will position the business for a period of take-off as it embarks on implementation of its 5-year Strategic Plan leveraged on its brand equity and rich history.

FUTURE OUTLOOK

Having finalized the first phase of the plant refurbishment program, the Group will pursue cost leadership through operational excellence to remain true to its customer value proposition. The Kiln shell challenges accounted for 80% of the downtime for the year and the Group expects improved capacity utilization to shore up turnover to profitability levels. Further, the Company will leverage on its rich brand heritage to service infrastructure projects to augment its market share and realize value from its investment properties through strategic mixed use developments.

DIVIDEND

The Directors do not recommend payment of dividend.

BY ORDER OF THE BOARD